ECONOMIC SURVEYS

I. 2. B. 6.

SWEDEN

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS MARCH 1967

BASIC STATISTICS OF SWEDEN

THE LAND

Area (1,000 sq.km)	450
Lakes (1,000 sq. km)	39
Arable area (1,000 sq.km)	33
Woodland (1,000 sq.km)	228

Major cities (Dec. 1966):

— Stockholm	779,000
— Gothenburg	443,000
— Malmo	253,000

THE PEOPLE

Population (Dec. 1966)	7,844,000
No. of inhabitants per sq.km.	17
Net natural increase (average 1961-1965)	37,700
Net natural increase per 1,000 inhabitants (average 1961-1965)	5.0
Net natural immigration (average 1961-1965)	18,500

PRODUCTION

Gross National Product in 1966 (millions of Kronor)	110,802
GNP per head, US $	2,740

Gross fixed capital formation (1966):

— Percentage of GNP	23
— Per head, US $	630

THE GOVERNMENT

Public consumption 1966 (percentage of GNP)	21
General government current revenue in 1965 (percentage of GNP)	44
Public gross fixed capital formation in 1965 (percentage of GNP)	4
Public debt at end 1965 (ratio to general government revenue in 1965)	77

Composition of Parliament (No. of seats):

	1st Chamber	2nd Chamber
	—	—
— Social democrats.	80	113
— Liberals	25	43
— Conservatives	26	33
— Centre	19	35
— Communists	1	8
— Other	—	1
	151	233

Last general election: 1964.

Next general election: 1968.

LIVING STANDARDS

Calories per head, per day (1964-1965)	2,950
Average hourly earnings of male industrial workers in 1965 (in Kronor)	9.45
Number of passenger cars in use per 1,000 inhabitants (Dec. 1965)	231
Number of telephones per 1,000 inhabitants (1966)	460
Number of radio sets per 1,000 inhabitants (1966)	374
Number of TV sets per 1,000 inhabitants (1966)	275

FOREIGN TRADE

Exports:

Exports of goods and services as a percentage of GNP (average 1961-1965)	29
Main exports (percentage of total commodity exports, 1966):	
— Forestry products	26
— Machinery, apparatus and transport equipment	36
— Iron and steel	8
— Iron ore	5

Imports:

Imports of goods and services as a percentage of GNP (average 1961-1965)	29
Main imports (percentage of total commodity imports, 1966):	
— Machinery, apparatus and transport equipment	29
— Raw materials (non-edible) and fuels	18
— Metals and metal products	14
— Food, beverages and tobacco	12

THE CURRENCY

Monetary unit: Krona.

Currency units per US $ 5.17

ECONOMIC SURVEYS BY THE OECD

SWEDEN

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the OECD shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.

The members of OECD are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

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INTRODUCTION

Strong pressures on resources developed in 1965, with a deterioration of the current foreign balance and a sharp increase in labour costs. A better balance between supply and demand was restored in 1966, thanks primarily to tighter demand-management policies. The increase in activity slowed down considerably, and the labour market eased progressively during the year. But the current foreign balance, although improving, remained in deficit and the rise in costs and prices remained significant. At the turn of the year, the expansion of domestic demand was relatively weak. But the Swedish authorities expect a strengthening in 1967, notably in the latter part of the year. Economic policy is designed to stimulate industrial gross fixed asset formation and to allow some increase in residential construction; an easier monetary policy was introduced in the second half of 1966, and certain other measures have been proposed to create greater scope and incentives for industrial investment. To keep the rise of demand in line with the growth of capacity, and avoid a strengthening of demand pressures, the 1967-68 budget proposes higher taxation. Nevertheless, it is unlikely that a further reduction of the current external deficit will be achieved in 1967, given the weak demand for important export commodities. And the upward trend in costs and prices seems likely to remain strong, partly reflecting the wage and salary increases granted under the three-year settlements concluded in 1966.

I. RECENT DEVELOPMENTS

Following the very high rates of increase in output achieved in 1963 and 1964, the heavy strains on resources which developed in 1965 limited the advance in the real gross national product (GNP) in that year to 3.7 per cent, slightly less than the normal growth of capacity (estimated at about 4 per cent a year). The expansion slowed down further to about 3 per cent in 1966, the lowest rate experienced since 1958, partly because of unfavourable weather conditions but mainly because of the more moderate rise in demand.

TABLE 1. SUPPLY AND USE OF RESOURCES[1]

Percentage change from previous year, 1959 prices.

	1961	1962	1963	1964	1965	1966
Gross National Product	5.8	3.4	4.5	7.1	3.7	3.1
Imports of goods	0.6	6.4	6.9	10.3	11.3	2.3
Total supply	4.8	3.9	4.9	7.7	5.1	3.0
Exports of goods and net services	4.3	8.0	7.1	10.9	3.6	5.6
Domestic demand	4.9	3.0	4.4	7.0	5.5	2.3
Private consumption	5.1	3.6	4.9	5.3	4.4	2.3
Public consumption	5.1	3.7	7.4	5.1	7.2	5.8
Gross fixed asset formation[2]	6.1	4.9	5.3	5.9	4.2	3.7
Change in stocks[3]	1.7	0.7	— 0.2	1.3	2.0	1.2

1. According to the definitions used in Swedish national accounts statistics.
2. Including maintenance, repairs and military investment.
3. Per cent of GNP.

Source: Preliminary National Budget for 1967 and National Institute of Economic Research.

Demand

The growth of home demand in real terms slowed down from 5.5 per cent in 1965 to 2.3 per cent in 1966. The slackening was most marked in the case of inventory accumulation which fell by an amount representing 0.8 per cent of GNP, reversing the movement of the previous year.

Gross fixed asset formation also rose less fast than in 1965. This was due to an absolute decline in residential construction. The number of building starts was low in the first half of the year under the influence of the tight monetary conditions then prevailing. The total number of building starts in 1966, was, however, maintained at the 1965 level because of a sharp increase in the last quarter, facilitated by the easing of monetary conditions. Business fixed asset formation rose rather faster than in 1965, but this reflected higher investment in ships, a volatile element. Excluding ships, business fixed asset formation increased less than earlier. There was a decline in capital spending by agriculture and commerce. Industrial fixed investment rose less than in 1965, contrary to expectations at the beginning of the year; the increase in investment in plant accelerated, but there was a marked weakening in investment in machinery and equipment. Public fixed investment increased rather more than in 1965, but with some slowdown of the expansion of government consumption, total public expenditure rose at about the same rate as in the previous year.

Private consumption rose more slowly in 1966 than in 1965. The rate of increase in households' disposable income was roughly unchanged; wages and salaries rose at about the same rate as in 1965, but the trend in non-wage incomes was weaker. Moreover, the savings ratio, which

TABLE 2. **GROSS FIXED ASSET FORMATION**[1]

Percentage changes from previous year, 1959 prices.

	1961	1962	1963	1964	1965	1966
Housing	6.5	6.5	7.0	9.0	4.5	— 2.5
Business gross fixed asset formation	9.5	1.0	3.5	3.0	5.5	6.5
Manufacturing	17.0	0.5	3.5	— 3.0	7.5	5.5
Agriculture, forestry, fishing	13.0	— 1.0	2.0	5.5	7.0	— 2.0
Commerce	9.5	13.5	12.0	12.5	— 1.5	— 6.0
Shipping	— 20.5	20.0	— 20.0	16.0	— 31.5	107.0
Public gross fixed asset formation	1.5	8.5	6.5	7.5	2.5	4.0
Central government	— 1.0	7.5	1.0	4.0	1.0	3.0
Local government	6.0	11.0	15.0	12.0	4.5	5.0
TOTAL GROSS FIXED ASSET FORMATION	6.0	5.0	5.5	6.0	4.0	3.5

1. Including maintenance, repairs and military investment.

Sources: Preliminary National Budget for 1967 and National Institute of Economic Research.

had fallen in 1965, remained unchanged in 1966. A factor contributing to the comparatively moderate increase in private consumption was probably the protraction of wage negotiations. The increase in certain wages and salaries was retroactively paid towards the end of 1966. Consumer demand, adjusted for seasonal variations, was particularly weak in the first half of the year, with some acceleration in the second half. In 1966, in sharp contrast to the experience of earlier years, automobile

TABLE 3. **HOUSEHOLD INCOMES, CONSUMPTION AND SAVINGS**

	KR. MILLION			PERCENTAGE CHANGE	
	1964	1965	1966[1]	1965	1966[1]
Factor income	66,970	73,930	80,745	10.4	9.2
of which: Wages and salaries	54,163	59,999	66,297	10.8	10.5
Taxes less transfers	— 9,676	—11,714	—13,364	21.1	14.1
Insurance payments, net	— 59	— 46	25	..	..
Disposable income	57,235	62,170	67,406	8.6	8.4
Consumption	51,596	56,629	61,391	9.8	8.4
Savings	5,639	5,541	6,015	— 1.7	8.6
Savings ratio	9.9	8.9	8.9	..	..

1. Preliminary.

Source: Preliminary National Budget for 1967 and National Institute of Economic Research.

sales fell by over 20 per cent. These sales, as it now seems, had been particularly high in 1965, partly because of the rise in the sales tax in July, and partly because of the introduction of new legislation providing for stricter control of older cars.

The more moderate expansion of domestic demand provided scope for an increase in net exports. Some switch of resources did in fact take place. In real terms the rise in exports of goods and services accelerated somewhat and the increase in imports slowed down markedly. But the switch was relatively modest, representing about 0.7 per cent of GNP, because of the weakening of foreign demand for important Swedish exports.

Production and Employment

Output in the service sectors rose somewhat faster in 1966 than in 1965. But output in the goods-producing industries slowed down from 5.5 per cent in 1965 to only 2 per cent in 1966. Agricultural production fell sharply (— 13 per cent) mainly due to unfavourable weather conditions. Building and construction activity rose very moderately, partly because of the severe winter.

TABLE 4. **PRODUCTION AND EMPLOYMENT**

Percentage volume changes from previous year.

	PRODUCTION			EMPLOYMENT[1]		
	1964	1965	1966	1964	1965	1966
Agriculture	6	2	— 13	— 7	— 7	— 8
Forestry	7	4.5	— 3			
Building and construction	7	4.5	2	4.5	1.5	0
Electric light and power	11.5	8	3.5	1.5	1	— 0.5
Mining and manufacturing	10	6	4			
Total services	5.5	2	4	2	3	1.5
Total	7	3.5	3	1	1	— 0.5

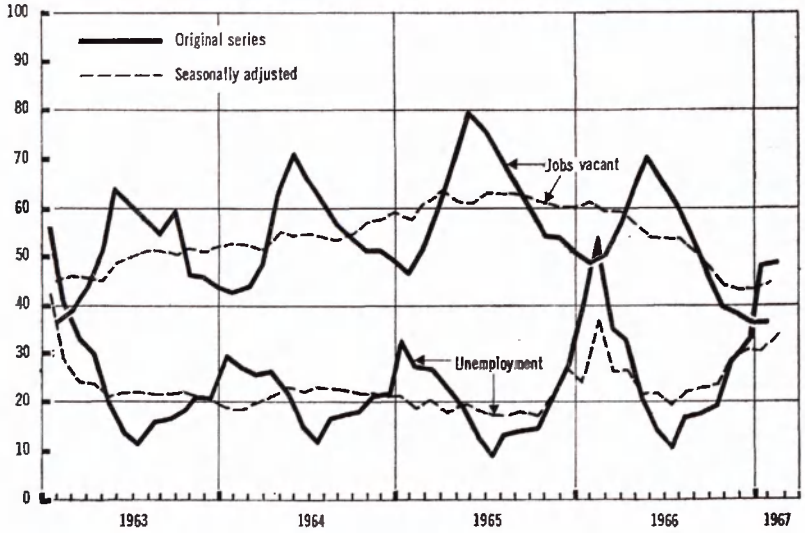
1. Number of persons employed according to the census definitions.
Source: Preliminary National Budget for 1967 and Central Bureau of Statistics.

Industrial production fell in a number of branches, such as iron ore mining, the forestry industries and the textile, clothing and shoe industries. The depressed level of activity in the European steel industry had adverse effects on demand for iron ore. The international pulp market has been weak since 1965; the decline in output last year also reflected some volun-

tary restraint on the part of the producers; towards the end of the year, however, marketing conditions improved and production recovered somewhat. The engineering industry (excluding shipyards), which accounts for about 40 per cent of industrial production, continued to expand at a good rate, with some switch towards exports as the rise in domestic demand slowed down. However, a 5 per cent decline in the number of hours worked between November 1965 and November 1966 suggests that some spare capacity also emerged here.

The labour market eased considerably last year. The movement of the number of jobs vacant suggests that demand for labour reached a peak in the middle of 1965 and that it has been falling since then. At the end of 1966 the number of jobs vacant was 25-30 per cent lower than a year earlier. The unemployment ratio (registered unemployment in per cent of the total number of insured) has shown a rising trend since mid-1966, but has remained relatively low; in January and February it stood at about 2.5 per cent, rather higher than normal for the season. But a recent enquiry made by the Labour Market Board suggests that among persons not gainfully employed a number of people corresponding to 3.5 per cent of the total labour force are interested in obtaining paid jobs—a large proportion of them being married women and young people seeking part-time work.

Diagram 1. **JOBS VACANT AND UNEMPLOYMENT**



Source: OECD, Main Economic indicators.

Employment remained about unchanged from 1965 to 1966, and may have fallen somewhat in the course of the year. The decline in employment in agriculture and forestry was rather sharper than in 1965, and industrial employment fell progressively. The level of employment in building and construction as calculated was also lower than in 1965, but this was due to low activity in the first quarter because of the severe winter. Employment rose very slightly in private services but by as much as 4.5 per cent in the public sector.

The slowdown of the growth of the active population (age group 16 to 64) from the first to the second half of the present decade has in recent years been accompanied by higher net immigration and growing participation rates for married women. Net immigration rose to 23,000 in 1964 and further to 35,000 in 1965; it remained high also in 1966 (about 30,000) but seems to have slowed down towards the end of the year. Such indications as exist suggest that the participation rate for married women fell last year.

Although the slowdown of the expansion and the easing of the labour market in 1966 were mainly due to the cyclical weakening of demand, structural factors may also have played a role. The structure of the Swedish economy had indeed been changing quite rapidly in recent years. In 1960 14 per cent of the labour force was employed in agriculture, forestry and fishing; by 1965 the ratio had fallen to 10 per cent and the Swedish Long-Term Survey published in 1965 expected a further decline to 7.5 per cent in 1970. There has been a marked structural rationalisation within industry in the last few years, with a movement of capital and labour towards high productivity sectors such as the engineering industry, while output in the textile, clothing and shoe industries has increased little or fallen. There has also been a steady tendency towards bigger production units, reflected inter alia in the closing down of smaller firms. This development seems to have accelerated in 1966 when 220 firms were closed down and a total number of 19,700 employees dismissed, 110 firms and 12,300 employees more than in the previous year.

In 1965 and 1966 certain important Swedish export industries experienced greater difficulties because of a marked weakening of foreign demand. This was the case notably for certain raw materials and some manufacturing branches such as the iron ore mining, and the pulp and paper industries. The position of the shipyards is also difficult. Order books are still sufficient to ensure a reasonable level of production in 1967 and much of 1968. But the inflow of new orders has fallen sharply, and profit margins are unsatisfactory. It is difficult to judge to what extent the difficulties in these industries are due to cyclical or structural factors. Most of these industries are affected by excess capacity internationally, a phenomenon which may last for some time. This also applies to the forestry industries, although demand for pulp and paper may revive somewhat in 1967. A further problem seems to be that in

Sweden production units in many industries are relatively small. A continued movement towards bigger units is, however, likely to take place.

Incomes and Prices

The slowdown of the rise in total factor income in 1966 reflected to some extent a weaker trend in non-wage incomes. Farmers' incomes fell by almost 12 per cent, and business profits probably rose less than earlier. Wages and salaries increased by 10.5 per cent or about the same as in 1965; the wage rise accelerated somewhat but employment rose less than earlier. The three-year wage settlements for industrial workers concluded in the spring of 1966 provided for increases in average wages, including fringe benefits, of about 5 per cent in both 1966 and 1967, and 3 per cent in 1968. The settlement for workers in industry includes a clause providing for a guaranteed compensation valid in case of wage drift falling below 3 per cent a year. The working week was to be reduced by 50 minutes in each of the years 1967, 1968, and 1969. The settlements for other wage and salary earners, including public servants, concluded late last year, provided for much bigger increases, influenced by the consideration that wages and salaries in these sectors had been lagging behind the general development of incomes in previous years. The increases were retroactive to the spring. Average wages and salaries in total were raised by 7.5 per cent in 1966, the highest increase in pay rates experienced since 1962. Wage-drift was more moderate in 1966 than earlier, but nevertheless

TABLE 5. **HOURLY EARNINGS AND WAGE BILL**

	1962	1963	1964	1965	1966	1967
Workers in industry:						
Negotiated increase in hourly earnings	4.4	3.1	2.4	4.2	4.3	4.0
Wage drift	3.8	4.1	4.7	5.7	4.7	3.3[1]
Fringe benefits	0.7	1.7	2.1	1.8	0.4	1.5
Total hourly wage cost	8.9	8.9	9.2	11.7	9.4	8.8[1]
All employees:						
Negotiated wage and salary increases	7 1/2	5	3 3/4	4 3/4	7 1/2	6[1]
Wage drift	2	2 1/3	3 1/4	4 1/2	2 1/2	2 1/2[1]
Employment	1	1 3/4	2 1/2	2	1/2	1[1]
Total wage bill	10 1/2	9	10 1/2[2]	10 1/2[2]	10 1/2	9 1/2[1]

1. Estimates.
2. The total increase is not identical with the sum of the components, owing to the fact that employees paid by the week had one more pay day in 1964 than in 1963 and 1965.

Source: Preliminary National Budget for 1967 and National Institute of Economic Research.

amounted to as much as 4.5 per cent for industrial workers. Hourly wage costs in industry, including social benefits paid by the employers, rose by about 9.4 per cent, or less than the 11.7 per cent experienced in 1965.

Unit labour costs in manufacturing rose by more than 5 per cent in 1965 and some 4 per cent in 1966. Available statistics suggest that the rise in Swedish costs in these two years exceeded that of a number of other countries, after a period of better stability (see Table 6). Calculations on the basis of preliminary estimates for production and wage bill suggest a rise in unit labour cost of about 4 per cent in 1967. The data used for the calculation of such indices are uncertain, and inter-country comparisons are difficult to make and interpret. Nevertheless, a relatively strong increase in unit labour costs over a number of years would seem to be a matter of concern.

TABLE 6. UNIT LABOUR COSTS IN MANUFACTURING, SELECTED COUNTRIES

Percentage increase, annual rates.

	1959-1961	1962-1964	1965	1966[1]
United States	—0.7	0.0	0.9	1.8
Germany	5.0	3.7	5.1	4.9
United Kingdom	1.9	1.2	5.8	3.5
France	—1.6	5.1	3.2	..
Japan	0.6	2.2	4.6	2.1
Belgium	—2.0	3.8	3.5	..
Canada	—2.5	—2.8	1.2	..
Italy	—1.9	14.4	—1.7	..
Netherlands	2.6	5.4	3.4	..
Norway	2.3	3.0	3.6	4.4
Denmark	3.2	3.3	5.9	7.0
Sweden	1.5	1.0	5.3	3.9

1. Preliminary.

Source: OECD Secretariat.

NOTE. Unit Labour Costs are defined in principle as the total cost of wages, salaries and associated employer outlays, per unit of output in the manufacturing sector. In practice, comparability of the estimates between countries is limited.

The rise in prices remained strong last year. During 1966 the consumer price index rose by about 5 per cent; excluding the effects of higher indirect taxes, the rise was 4 per cent, or about the same as in 1965. Since import prices fell during the year, contrary to the 1965 experience, the rise in domestic costs seems to have had a stronger effect on prices than in the previous year, particularly in sectors little exposed to foreign competition; service prices (excluding rent) rose by as much as 7 per cent in 1966, more than in the previous years.

TABLE 7. DEVELOPMENT OF PRICES

Percentage increase from previous year.

	WHOLESALE PRICES	EXPORT PRICES	CONSUMER PRICES	NET CONSUMER PRICES[1]
1961	1.8	0.6	2.2	2.5
1962	1.9	— 2.7	4.8	3.1
1963	3.3	0.5	2.9	2.6
1964	4.7	4.0	3.4	3.8
1965	3.7	3.1	5.0	4.0
1966	3.2	— 0.7	6.4	5.1

1. Excluding indirect taxation.
Source: National Institute of Economic Research.

Balance of Payments

In the first half of the present decade the current account of the balance of payments was very stable, showing only small fluctuations around an equilibrium position. In 1965 and 1966, however, relatively large deficits emerged, notably reflecting a marked rise of the trade deficit. There

TABLE 8. BALANCE OF PAYMENTS

$ million.

	1961	1962	1963	1964	1965	1966[1]
Exports (fob)	2,744	2,924	3,203	3,675	3,971	4,273
Imports (cif)	2,929	3,123	3,393	3,856	4,377	4,574
Trade balance	— 185	— 199	— 190	— 181	— 406	— 301
Shipping earnings, net	267	279	283	298	307	329
Other services, net	— 37	— 70	— 113	— 133	— 193	— 254
Current balance	45	10	— 20	— 16	— 292	— 226
Registered capital transactions	23	42	— 33	55	93	79
of which: Government transactions and trade in securities	19	— 17	— 9	16	— 1	5
Private transactions	4	59	— 24	39	94	74
Time position of commercial banks (increase —)	— 36	10	— 1	14	13	— 27
Errors and omissions	167	33	31	144	209	241
Change in total foreign exchange reserves[2]	199	95	— 23	197	23	67

1. Preliminary.
2. Including changes in IMF position.
Source: Preliminary National Budget for 1967 and National Institute of Economic Research.

has also been a steady deterioration of the invisible balance, with the increase in shipping earnings being more than offset by expenditure on other services, including tourism.

The current account improved in 1966, with the deficit falling to about $ 225 million, from almost $ 300 million in 1965. The improvement was, however, rather smaller than the accelerated rise in the volume of exports and deceleration of the imports would suggest. There was some deterioration of the terms of trade and a further decline in net invisibles earnings.

The development of commodity imports gives clear evidence of a better balance in the domestic economy. The import rise slowed down considerably after the middle of 1965, and amounted to only 2.3 per cent in volume between 1965 and 1966; in value, the rise was 4.5 per cent. In both 1964 and 1965 imports had risen by 13.5 per cent. The small increase last year was influenced by the decline in inventory accumulation, and reflected a sharp fall in imports of automobiles.

Exports also benefited from the slackening of home demand. But total shipments rose no faster than in 1965, because of a fortuitous decline in exports of ships. Excluding ships, exports rose by almost 11 per cent in 1966, compared with 7 per cent in 1965. There was a particularly strong increase in shipments of engineering products, up 20 per cent as against an increase of 8 per cent in the previous year. Exports of iron ore and timber fell, reflecting weak foreign demand.

Table 9 shows the movement of Sweden's share of non-food imports by countries which together take about 70 per cent of her commodity exports. It shows that her share of EFTA countries' markets, after a rapid and steady rise up to 1964, levelled off in 1965 and fell in 1966. Her share of EEC markets had declined steadily for a number of years. The share of US markets has been stable in recent years, while Sweden's performance in Finland has been better than average. Taking the above countries together, there was a decline in Sweden's share in both 1965 and 1966. It would be rash to conclude that this development has been caused by a relative rise in Swedish costs. Market shares are influenced by a number of factors. Changes in the pressure of demand at home tend to have an effect on export performance. The decline in Sweden's share of EEC imports is no doubt related to the removal of trade barriers within the EEC market. Cyclical and other temporary changes in the composition of foreign demand may also have important effects. It is a fact, however, that Swedish wage costs have risen fast in the last two years, and it cannot be excluded that they have had some adverse effect on export performance.

Official foreign exchange reserves (including the IMF position) continued to rise in both 1965 and 1966; at the end of last year they stood at a little above $ 1 billion, representing 2.5 months' merchandise imports. Registered capital transactions showed a larger inflow than in earlier years,

TABLE 9. SWEDISH SHARE OF EXPORT MARKETS

IMPORTS FROM SWEDEN IN PER CENT OF TOTAL IMPORTS[1]	1960	1961	1962	1963	1964	1965	1966[3]
EFTA[2]	7.17	7.36	7.62	7.75	8.01	8.04	7.69
of which: United Kingdom	6.35	6.51	6.35	6.07	6.51	6.12	5.70
Denmark	12.31	13.17	14.42	14.77	15.57	15.44	16.08
Norway, total	19.55	19.65	21.03	23.62	23.16	24.66	22.08
Norway, excl. ships	13.92	15.31	16.91	17.57	18.45	18.36	18.78
EEC	4.13	4.26	4.07	3.82	3.85	3.69	3.36
of which: Germany (FR)	5.67	5.91	5.70	5.39	5.37	4.81	4.41
United States	1.75	1.46	1.57	1.60	1.60	1.60	1.63
Finland	12.23	13.12	14.03	14.12	14.17	15.49	15.17
Total of above countries	4.64	4.75	4.69	4.57	4.73	4.63	4.25
Total, excl. ships	4.41	4.52	4.44	4.31	4.50	4.34	..

1. Crude materials, and manufactures, i.e. SITC section 2, 5-9.
2. Excluding Sweden.
3. Estimates on Jan.-Dec. (Denmark, Norway and United Kingdom), Jan.-Oct. (Germany and Finland), or Jan.-June (other countries).

Source: UN Statistical Papers, series D. OECD Foreign Trade Statistics, series B, and national statistics.

and there was a strong increase in the inflow under " errors and omissions ". The Swedish authorities feel that part of the errors and omissions consists of unrecorded current receipts (net); according to rough estimates by the Ministry of Finance, these receipts might have amounted to about $ 100 million both in 1965 and in 1966.

II. ECONOMIC POLICY

The better economic balance achieved in 1966 was probably strongly related to a progressive tightening of demand-management policy, including a more restrictive application of building controls. In the second half of the year, however, some relaxation took place. The government budgetary position deteriorated and this was allowed to have an expansionary effect on both bank and non-bank liquidity.

The Central Government Budget

The 1965-66 budget[1] seems to have represented a tightening of fiscal policy. The increase in budget expenditure on goods and services (adjust-

1. The fiscal year runs from 1st July to 30th June.

ed for the transfer to the government of some expenditures which had earlier been the responsibility of the municipalities) slowed down, and the financial surplus rose by about Kr. 450 million. Tax receipts rose fast. This was partly due to the sharp increase in the tax base, and an unexpected rise in deferred payments of taxes due in 1965-66. But there was also a net increase in tax rates estimated to yield at least Kr. 800 million in a full year. Children's allowances were increased from 1st July 1965 and direct taxes reduced from the beginning of 1966. But the effect on budget receipts of these measures was more than offset by the increases in indirect taxation effected in July 1965 and early in 1966. There was, however, a sharp increase in government lending, so that the overall budget was in somewhat larger deficit than a year earlier.

The 1966-67 budget continued the policy of limiting the Government's demand for goods and services; adjusted for a further change in the responsibilities between the Government and the municipalities, the Government's demands on real resources in constant prices have been rising very moderately in the current fiscal year, and somewhat less than in the previous year. But the budget probably exerts a more expansionary effect on demand by other sectors than its predecessor. Financial savings are estimated to decline by almost Kr. 800 million (0.6 per cent of GNP). This is no doubt partly due to the automatic effect on tax

TABLE 10. **CENTRAL GOVERNMENT BUDGET**

Kr. Million.

	CALENDAR YEAR			FISCAL YEAR		
	1965 ACTUAL	1966 PRELIM.	1967 FORECAST	1965-66 ACTUAL	1966-67 PRELIM.	1967-68 PROPOSAL
Revenue	26,590	29,000	32,300	28,015	30,593	33,702
of which: Direct taxes	12,201	12,610	13,640	12,399	13,206	14,381
Indirect taxes	12,227	14,150	16,200	13,404	14,971	16,758
Expenditure on goods and serices	11,660	12,770	13,550	12,096	13,225	14,111
of which: Gross investments	4.773	4,950	5,150	4,952	4,950	5,451
Consumption	6,887	7,820	8,400	7,144	8,275	8,660
Transfers	13,534	15,430	17,650	14,562	16,780	18,196
FINANCIAL SAVINGS	+ 1,396	+ 800	+ 1,100	+ 1,357	+ 588	+ 1,395
Lending	1,377	2,050	2,200	1,711	2,059	2,490
OVERALL BALANCE	+ 19	— 1,250	— 1,100	— 354	— 1,471	— 1,095

Source: Preliminary National Budget for 1967.

NOTE. Calendar Year estimates have been derived from fiscal year figures and are uncertain.

receipts of the better balance in the economy, reflected in a slower growth of the tax base. But it can also be ascribed to the sharp increases in civil servant salaries and transfer payment. Moreover, Government lending continues to grow, probably with a fairly immediate impact on demand by the sectors receiving it. And the large overall deficit, partly financed by borrowing from the Central Bank, has been the main factor behind the easing of monetary conditions since the middle of 1966.

The budget for the fiscal year 1967-68 is designed to stimulate industrial investment, to allow some increase in residential construction and to limit the growth of certain other types of fixed investment, private consumption and the Government's demand for goods and services. To these ends the following measures have been taken or proposed:

a) The establishment of an " industrial policy fund ". Its purpose would be to facilitate the structural rationalisation of Swedish industry which technological progress, changes in demand, and growing labour costs make necessary. The fund is to provide credits for rationalisation and development projects whose size or nature precludes their finance from retained earnings and borrowing in the market alone. In 1967-68 the fund will dispose of Kr. 500 million (corresponding to 3 per cent of private fixed investment excluding residential construction).

b) The introduction of a temporary 25 per cent tax on low-priority investment in building—i.e. all building activity except residential construction, central government projects, industrial plant and municipal school buildings benefiting from government support and, in practice, hospitals. The tax—designed to increase the scope for residential construction and industrial investment—will apply to projects started between March 1967 and September 1968.

c) Higher indirect taxation—including an increase in the general sales tax from 9.1 to 10 per cent from 1st March 1967—estimated to yield Kr. 1,440 million (more than 1 per cent of GNP) in the fiscal year 1967-68.

d) Stronger restrictions on the growth of budget expenditure on goods and services, reflected notably in a much smaller increase in government demand for labour. In recent years the budget has provided scope for an increase in government employment of about 6,000 persons a year; in 1967-68 the increase is estimated at only 1,500 persons.

The Government's financial savings are expected to rise again in the fiscal year 1967-68, and the overall deficit is thought likely to decline. In these circumstances, and with the slowdown of the increase in the Government's demand on real resources, the budget is perhaps rather tighter than its predecessor.

Monetary Policy

In the first part of the year the restrictive policy pursued since 1963 (see Table 11) was continued. The pressure on bank reserves increased. In June bank rate was raised from 5.5 to 6 per cent, and the penalty rate on commercial bank borrowing from the Central Bank from 11 to 12 per cent. During the second half of the year, the pressure on bank reserves eased. From July the application of the penalty rate on commercial bank borrowing from the Central Bank was reduced, banks observing recommended

TABLE 11. **MONETARY POLICY MEASURES**

1963:	Spring	Commercial banks reminded by Central Bank that the liquidity ratios recommended earlier had to be observed (30 per cent for big banks and 25 per cent for other banks).
	June	Bank rate raised from 3.5 to 4 per cent.
	Summer and Autumn	Government bond issue with higher interest rate.
1964:	January	Bank rate raised to 4.5 per cent.
	February	Government bond issue with higher interest rate (5.75 per cent). Introduction of penalty rate of 9 per cent on loans from Central Bank to any commercial bank exceeding half the amount of the commercial bank's own capital and reserves.
	April	In the case of non-observance of liquidity ratios, penalty rate applied to Central Bank credit to any commercial bank that exceeded 25 per cent of the commercial bank's own capital and reserves.
	November	Bank rate raised to 5 per cent, and the penalty rate to 10 per cent. Government bond issue at par bearing 6 per cent rate of interest.
1965:	April	Bank rate raised to 5.5 per cent, and the penalty rate to 11 per cent.
1966:	June	Bank rate raised to 6 per cent and the penalty rate to 12 per cent.
	July	Commercial banks observing recommended liquidity ratios no longer have to pay penalty rate on loans in the Central Bank.
	Autumn	Government and mortgage bond issues at 6 3/4 per cent. Industrial and local government bond issues at 7 per cent.
1967:	February	Bank rate lowered to 5.5 per cent.
	March	Bank rate lowered to 5.0 per cent.

liquidity ratios no longer being obliged to pay it. In February 1967, the bank rate was reduced to 5.5 per cent and in March further to 5 per cent.

Table 12 shows that the volume of funds raised in credit and capital markets increased from Kr. 10.2 billion in 1965 to Kr. 12.8 billion in 1966, a much faster rise than earlier. The increase was due to a sharp rise in government net borrowing reflecting the change in the budgetary position. Other sectors taken together increased their borrowing less than in 1965.

TABLE 12. **CREDIT AND CAPITAL MARKETS**

Net amounts, Kr. million.

LENDERS	BORROWERS				
	CENTRAL GOVERNMENT	LOCAL AUTHORITIES	DWELLINGS	INDUSTRY AND COMMERCE	TOTAL
1961 Total	— 350	375	2,625	1,750	4,400
1962 Total	— 600	900	2,900	3,800	7,000
1963 Total	200	950	3,800	3,550	8,500
1964 Total	250	1,400	4,400	3,150	9,200
1965:					
The Riksbank	650	0	— 50	0	600
The commercial banks	— 1,100	0	1,150	2,100	2,150
Other credit institutions	300	1,150	3,450	1,850	6,750
of which:					
The National Pension Insurance Fund	275	525	1,225	725	2,750
Private persons	— 100	0	50	750	700
Total	— 250	1,150	4,600	4,700	10,200
1966 (Preliminary):					
The Riksbank	800	0	50	50	900
The commercial banks	— 100	100	800	2,200	3,000
Other credit institutions	200	900	4,400	2,300	7,800
of which:					
The National Pension Insurance Fund	200	300	2,350	850	3,700
Private persons	350	0	0	750	1,100
Total	1,250	1,000	5,250	5,300	12,800

Source: The Preliminary National Budgets for 1967 and earlier.

The municipalities raised a smaller volume of funds than in the previous year. The business sector increased its borrowing, but at a distinctly lower rate than earlier, influenced by the decline in inventory accumulation in 1966. The housebuilding sector accelerated its borrowing; a strong

increase occurred in the second half of the year when special measures were taken to facilitate the financing of residential construction.

The supply of funds was, as in the preceding few years, influenced by the strong growth of the resources of the National Pension Fund. In 1966 this Fund increased its long-term lending by almost Kr. 1 billion to Kr. 3.7 billion, which represented over one quarter of the total supply of credit. The commercial banks also increased their lending rather faster than in 1965 (see Table 12), but with a marked change in the course of the year. In the first half of the year the expansion of bank credit continued, despite the sharp decline in their liquid reserves. The banks reduced their holdings of long-term securities in this period. In the second half, bank credits fell below the level of a year earlier, although the banks' liquidity position improved. But the banks increased their security hold-

TABLE 13. COMMERCIAL BANK LIQUIDITY

Kr. million.

	1962	1963	1964	1965	1966
Change in commercial banks' liquid assets, as defined by Central Bank[1]	1,480	— 183	649	— 341	1,770
Resulting from:					
a) Change in official gold & foreign exchange reserves	493	— 121	1,019	117	346
b) Government expenditure surplus	— 599	201	261	— 245	1,252
c) Government borrowing outside the Central & commercial banks (increase —)	748	— 126	— 654	— 183	— 551
d) Notes in circulation outside the commercial banks (increase —)	— 429	— 509	— 549	— 341	— 583
e) Deposits on investment accounts at the Riksbank (increase —)	333	32	— 103	— 171	— 138
f) Commercial banks' net purchases of mortgage institutions' bonds (face values)	475	— 32	772	548	751
g) Change in short-term assets held by the Post Office Bank & the National Pension Insurance Fund (increase —)	436	119	— 2	137	485
h) Other	23	253	— 95	— 203	208
Change in commercial banks' short-term liquid assets[2]	333	327	139	— 724	920
Change in commercial banks' net position vis-à-vis Central Bank (Dec.-Dec.)	— 101	— 138	— 8	— 175	219

1. Short-term domestic and foreign assets (net) and government and mortrage bonds.
2. All liquid assets except government and mortrage bonds.

Source: Sveriges Riksbank.

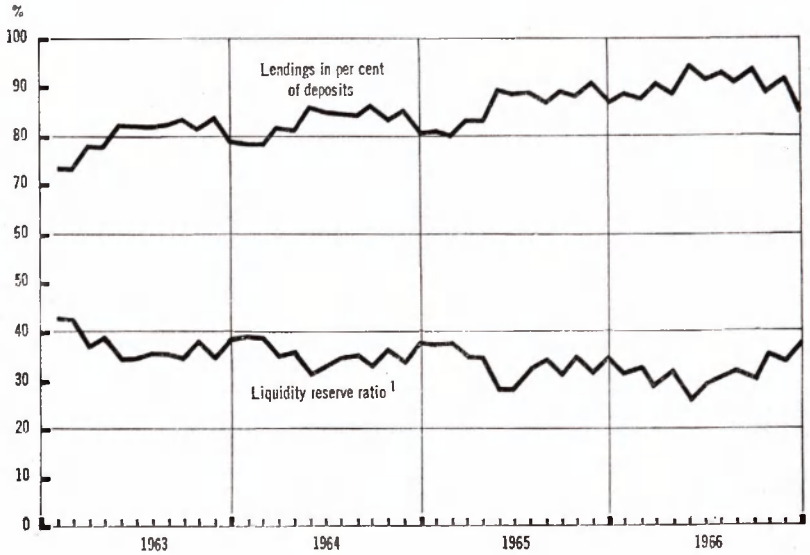
ings rather sharply so that their holdings at the end of the year were much higher than a year earlier.

Activity in the capital market increased significantly in 1966, notably in the second half of the year. The rise of new issues was accounted for by the Government and the mortage institutions; in 1966, as in the two preceding years, these institutions were responsible for more than half the new issues floated in the market. Other sectors including business and municipalities raised only slightly more in the market than in 1965.

Interest rates rose in the first half of the year, reaching a peak in the summer after the increase in Bank rate in June. Yields on certain long-term government bonds reached almost 7 per cent. With the easier monetary conditions developing in the second half of the year, market yields began to fall in August. By the end of the year yields on long-term government bonds had typically fallen by half a percentage point.

Diagram 2. **MONETARY INDICATORS**

COMMERCIAL BANKS, END OF MONTH



1. Liquid assets (cash, deposits in other banks, government and mortgage bonds and net foreign assets) in per cent of liabilities (excluding internal funds, etc., and bookkeeping items).

Source: Monthly Digest of Swedish Statistics and Sveriges Riksbank.

TABLE 14. CAPITAL MARKET, NET FLOWS[1]

Kr. million.

	1962	1963	1964	1965	1966
Long-term bonds	3,535	3,234	4,170	3,449	5,459
Shares	427	363	485	934	719
Loans, etc. from capital market institutions	2,075	2,457	2,742	3,911	4,036
	6,037	6,054	7,397	8,294	10,214

1. According to Central Bank's definitions.
Source: Sveriges Riksbank.

Structural Policy

Structural change has been facilitated by an active policy to increase the mobility of productive resources. Labour market policy has been an important element in this. Regional mobility of labour is being encouraged by the granting of travelling, family and starting allowances. Occupational mobility is being improved by more effective employment exchange services, vocational guidance, and re-training courses. The number of unemployed persons attending re-training courses averaged 19,000 in 1966, double that of five years ago.

While the authorities have encouraged the expansion of industries considered likely to remain competitive in the long run, they have sought to avoid giving support to declining branches in a form which would stimulate their expansion. Support to agriculture, for instance, has been shaped so as to ensure reasonable income levels for the farmers without encouraging an increase of agricultural production. A recent expert committee has proposed measures which would accelerate the relative decline of agriculture, but the Government has not yet decided to what extent it will follow the proposals. The " industrial policy fund " referred to on page 17 would seem to represent an important supplement to existing policy instruments, which could greatly facilitate the structural rationalisation of industry. The rules governing the operation of the fund have not yet been published but it has been announced that the fund will provide equity capital to a new investment bank. This bank will increase its lending capacity through issues of bonds and securities on the credit market.

As already noted, another public fund—the National Pension Insurance Fund—represents an important source of long-term finance. The Fund was established in 1960 as a supplement to the already-existing basic pension system. The National Pension Insurance Fund is primarily an element of social policy, but its financial aspects have been strongly

influenced by economic considerations. The pension system, although in principle on a pay-as-you-go basis, has been combined with the accumulation of a fund, motivated by the need to increase the national savings ratio. It has also led to a significant increase in the supply of long-term capital—another important economic aspect of the scheme. The resources of the Fund have increased rapidly to Kr. 14.7 billion at the end of 1966 (12 per cent of GNP) since outpayments have been relatively small in the first years of its operation. The increase of the Fund in 1966 amounted to Kr. 3.9 billion, nearly a third of the volume of funds raised in credit and capital markets in that year. The Fund will continue to grow during the next 15 to 20 years, but at a declining pace as the number of pensioners and the pensions increase. Up to one half of the premiums received in any one period can be made available for loans to those paying the premiums, but at the end of 1966 these loans accounted for only about 7 per cent of the Fund's total investments. The greater part of the capital has been invested in public and private bonds. The Fund has an independent administration; the Government appoints some of the board members but has not in principle a dominant influence. Existing legislation provides the authorities with the power to prescribe investment ratios for financial institutions, including the Pension Fund, but this power has not been used.

III. PROSPECTS AND POLICY ISSUES

Prospects

Recent indicators point to a relatively weak trend of demand in the early months of 1967. A business enquiry taken in December showed that a majority of firms expected the first quarter to see a continued increase in export orders but a decline in the inflow of domestic orders. A higher proportion than earlier regarded the volume of orders on hand as too small. The deterioration of the order position affected most branches, including building and construction. Orders on hand in the engineering and metal manufacturing industry were 9 per cent smaller at the end of 1966 than a year earlier. Industrial investment plans were revised downwards in the course of 1966. A survey in November suggested that the increase in industrial fixed asset formation might come to an end in 1967.

The Swedish authorities take the view that the current weakness of demand will be temporary. It is thought that the recent business test was influenced by the fact that inventories in trade and industry are still relatively high, despite the decline in inventory accumulation last year. The efforts now being made to adjust inventories are exerting a depressive impact on demand. Inventory demand was particularly weak in the second

TABLE 15. PROSPECTS FOR ECONOMIC GROWTH IN 1967

	1966 KR. MILLION PRELIMINARY	PERCENTAGE VOLUME CHANGE FROM PREVIOUS YEAR	
		1966	1967
Gross national product	119,253	3.1	3.8
Imports of goods	24.121	2.3	4.6
Exports of goods and net services	23,141	5.6	5.0
Net Exports	— 980	— 0.9[2]	— 0.7[2]
Total domestic demand	120,233	2.3	3.6
Gross fixed asset formation	38,148	3.7	4.2
Private consumption	62,499	2.3	3.1[1]
Public consumption	18,534	5.8	5.9
Changes in stocks	1,052	0.9[2]	0.6[2]

1. Based on the assumption of an increase in disposable incomes of 7.6 per cent.
2. Per cent of GNP.

Source: Preliminary National Budget for 1967 and National Institute of Economic Research.

half of 1966. The authorities believe that this tendency may continue in the first part of 1967, but expect a strengthening in the second half of the year. Moreover, both the business test and the investment survey may have been taken at a time when the business climate was still influenced by the sluggishness of certain types of demand in the earlier parts of 1966, notably residential construction and private consumption. At the time of the business enquiries, furthermore, the easing of monetary policy may not yet have been fully appreciated. The National Budget for 1967 published at the beginning of the year therefore expects the current relatively slow rise in demand to be followed by a strengthening in the second half of 1967, with the year as a whole showing an increase in output roughly in line with the growth of capacity.

The estimated rise in GNP, if realised, would represent an acceleration compared with the advance in 1966 (about 3 per cent) reflecting a stronger trend in domestic demands. Exports of goods and net services should rise at a slightly lower rate than in 1966, despite a recovery of ship deliveries to abroad, while imports are likely to increase more than earlier, in line with the stronger expansion of domestic demand.

The strengthening of home demand is expected particularly to affect the types of demand which were weak in 1966—inventory demand, residential construction and private consumption. Inventory accumulation is thought likely to continue to decline in 1967, but much less than earlier. And, as already noted, the decline may be reversed in the second half of

the year. Residential construction should rise relatively fast, following the decline in 1966. The number of housing starts may be roughly the same as last year, but the combination of a large number of starts late in 1966, and a more normal seasonal pattern in 1967 (with a higher proportion of starts earlier in the year), should entail an increase in investment in housing.

Business fixed investment is expected to continue to rise, but at a lower rate than in 1966, due to a slowdown of the increase of industrial fixed asset formation. Nevertheless, this estimate is based on a fairly optimistic interpretation of the November survey of industrial investment plans. The surveys taken in the autumn typically tend to show too low figures. An upward adjustment of the survey plans may therefore be warranted, particularly in view of the fact that the availability of credit will be much greater than earlier. The authorities also expect some rise in profits in 1967, increasing the self-financing ability of industry. It is clear, however, that the estimate for business fixed investment is uncertain.

Public expenditure on goods and services should rise somewhat faster than in 1966. The growth trend of public consumption may not change much, but public investment expenditure is likely to grow more rapidly than earlier. The acceleration concerns the municipalities, which have very large investment plans for the years ahead. Although certain types of municipal investment will be discouraged by the new 25 per cent investment tax, the improvement of the municipalities' liquidity position in 1966 points to a strong increase in municipal investment activity.

The increase in private consumption is likely to accelerate in the course of 1967. Household incomes both before and after tax should rise somewhat less than last year, but with no change in the savings ratio and some deceleration of the price rise, consumer spending in constant prices should increase faster than last year. On the basis of previous experience with regard to the lag between increases in incomes and consumer spending, the rise in private consumption may tend to be relatively moderate in the first half of the year and accelerate in the second half-year.

The National Budget expects an increase in real GNP of almost 4 per cent in 1967. This is not thought likely to require much rise in labour input, but since the working week was reduced somewhat from February, some rise in the number of employed may take place. Given the likely pattern of demand during the year, the labour market may continue to ease in the first half of the year, and become somewhat tighter in the second half. But the situation at the end of 1967 should not be very different from what it was at the end of 1966.

The price rise should slow down somewhat, but the rise in the consumer price index may nevertheless amount to as much as 4.5 per cent in the course of the current year, of which about 1 per cent will be due to higher indirect taxes. This is based on the assumption that average hourly

wage costs of all enterprises may rise by as much as 10 per cent also in 1967, reflecting the increase in wages and salaries provided by last year's wage settlements, a wage-drift of about the same size as in 1966, and a further increase in employers' social security charges. In industry, where hourly wage costs are also likely to rise by about 10 per cent, labour costs per unit of output may increase by about 4 per cent.

The authorities do not expect an improvement of the current account of the balance of payments in 1967. The trade deficit may improve somewhat, but this may be offset by a continued rise of the deficit on invisibles. Despite weak demand in certain important foreign markets, notably Germany and the United Kingdom, commodity exports are thought likely to rise by 6 per cent in value. This reflects a sharp rise in ship deliveries, and exports of other engineering products are also likely to increase rapidly, although not as fast as in 1966. But exports of iron ore may fall by about 25 per cent, and shipments of timber products may also fall. Imports should rise by almost 6 per cent in value. The projected increases in exports and imports are based on the assumptions of about unchanged average export prices, but some rise in import prices (about 1.5 per cent).

Policy Conclusions

Prospects suggest that, with the policy measures taken or proposed, the better economic balance achieved in 1966 will be maintained in 1967. Given the mixed behaviour of recent demand indicators, however, a considerable degree of uncertainty must prevail, with risks of deficient as well as of excessive demand growth. Barring any unexpected further weakening of export markets, the main risk for a deficient rise in demand would seem to concern industrial fixed investment. The November survey of business investment plans as well as the recent business test reflected a generally pessimistic outlook, probably influenced by the weak trend in important Swedish exports and low profit margins in many industries. In such conditions it must be uncertain how far an increase in the availability of credit and lower interest rates will stimulate fixed asset formation. It is therefore possible that the strength of industrial investment demand has been overestimated. In the case of a falling-off of industrial investment, the authorities are in a position to release the investment reserves blocked in the Central Bank. Use of these reserves has proved a powerful policy instrument in the past, the investment thereby financed being written off immediately.[1]

1. At present the investment reserves amount to Kr. 1,260 million. When reserves are released, the firms concerned have to finance from other sources more than half of the amount they are required to invest. The investment reserves could therefore, if released in total, generate an increase in fixed asset formation amounting to more than Kr. 2.5 billion—representing 15 per cent of annual private gross fixed asset formation (excluding residential construction) or 2 per cent of GNP.

The risk of an excessive rise in demand would seem fairly small unless exports should rise faster than expected. This would no doubt serve to stimulate business fixed investment and reverse the decline in inventory accumulation. Given the strength of other types of demand, excessive pressures on resources might reappear, calling for a tightening of demand-management policy. Given the uncertainties prevailing in the present situation, great flexibility in policy making is clearly important.

But the maintenance of an appropriate level of demand is not the only concern of the authorities. The balance of payments seems likely to remain in deficit on current account and labour costs are rising rapidly. Although better performance cannot be achieved overnight, these problems have implications for policy also in 1967.

The recorded current external deficit amounted to about $ 225 million in 1966, the equivalent of about 1 per cent of GNP. As the item " errors and omissions " may partly consist of net current receipts, the true deficit was probably somewhat lower. The switch in resources required to eliminate the deficit is therefore not enormous, but the ease with which this can be achieved depends on the nature of the deficit. To some extent the deficit is certainly due to cyclical factors, notably the weak demand conditions prevailing in Germany and the United Kingdom; with a revival of demand in these countries the deficit would probably be reduced. But there may also be more persistent elements behind it. As noted earlier, although the evidence is far from conclusive, it is possible that the recent weakness of certain Swedish exports is due to an imbalance between world supply and demand which may last for some time. And it cannot be excluded that the rapid rise in Swedish labour costs in the last two years has had some adverse effect on the foreign balance. It is an important objective of economic policy to eliminate the deficit. An important element in the authorities' efforts to improve the foreign balance must be the achievement of a better cost performance.

From the point of view of stabilisation policy, the strong upward trend in labour costs is perhaps the main problem confronting the authorities at present. With the increase which now seems likely in 1967, unit labour costs in industry will have risen by some 15 per cent over a three-year period, much faster than in most other industrialised countries. The fact that most wage contracts concluded in 1966 provided for increases in wage rates both in 1967 and 1968 limits the improvement in the cost performance that can be achieved in the short run. This is particularly true since the 1966 settlements include provisions which extend benefits from wage drift to those industrial workers who are otherwise getting less than 3 per cent. Nevertheless, the maintenance of the somewhat easier labour market conditions now prevailing may be desirable not least to restrain wage drift to a minimum. And the avoidance of excessive pressures on the labour market as the time for re-negociation of existing wage contracts approaches, is clearly important.

The main element of the authorities' efforts to influence prices and costs is demand-management policy. But proper demand-management, although essential, may not be sufficient to avoid a repetition of excessive wage settlements. As a result of the wage rate agreements in 1966, increases above the average were granted to civil servants and other white collar workers. Efforts on the part of other groups to restore previous relationships might become an important issue in the next wage round. To restrain competition between individual groups to improve their relative positions, it is important to produce better understanding of the real scope for income increases as well as for the pattern of adjustment which a given situation requires. The authorities will have an important role to play in producing such understanding, and thus achieving a better co-ordination of wage and income determination. The problems involved are now being considered in a series of talks between the labour market organisations, and the authorities have encouraged this initiative.

STATISTICAL ANNEX

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TABLE I. SUPPLY AND USE OF RESOURCES

CURRENT PRICES	S.KR. MILLION										PER CENT OF GNP	
	1956	1957	1958	1959	1960	1961	1962	1963	1964	1965	1956	1965
Gross national product	49,232	52,991	55,349	58,911	63,931	69,697	75,592	81,909	91,077	99,871	100.0	100.0
Imports of goods and services	13,625	15,163	14,772	15,100	17,846	18,083	19,344	21,110	23,922	27,097	27.7	27.1
Total supply	62,857	68,154	70,121	74,011	81,777	87,780	94,936	103,019	114,999	126,968	127.7	127.1
Exports of goods and services	13,605	15,203	14,659	15,276	17,449	18,353	19,480	21,104	24,021	25,786	27.7	25.8
Total domestic demand	49,252	52,951	55,462	58,735	64,328	69,427	75,456	81,915	90,978	101,182	100.0	101.3
Of which:												
Public consumption	8,301	9,196	9,794	10,481	11,098	11,994	13,782	15,386	16,981	19,254	16.9	19.3
Defence	2,397	2,557	2,695	2,835	2,981	3,013	3,624	3,814	4,096	4,430	4.9	4.4
Civil	5,904	6,639	7,099	7,646	8,117	8,981	10,158	11,572	12,885	14,824	12.0	14.9
Private consumption	30,445	31,994	34,204	35,712	37,554	40,603	44,035	47,633	51,590	56,571	61.8	56.6
Durables	2,915	3,334	3,607	4,135	4,211	4,803	5,128	5,702	6,370	6,943	5.9	7.0
Other	27,530	28,660	30,597	31,577	33,343	35,800	38,907	41,931	45,220	49,628	55.9	49.6
Gross domestic fixed asset formation	9,785	10,527	11,540	12,722	14,136	15,653	17,117	18,997	21,226	23,614	19.9	23.6
Government	1,545	1,822	1,914	2,289	2,085	2,121	2,405	3,101	3,654	4,280	3.1	4.3
Enterprises	8,240	8,705	9,626	10,433	12,051	13,532	14,712	15,896	17,572	19,334	16.8	19.3
Change in stocks	721	1,234	— 76	— 180	1,540	1,177	522	— 101	1,181	1,743	1.4	1.8

Source: Swedish submission to the OECD.

TABLE II. SUPPLY AND USE OF RESOURCES

1959 PRICES	S.KR. MILLION										PER CENT OF GNP	
	1956	1957	1958	1959	1960	1961	1962	1963	1964	1965	1956	1965
Gross national product	53,456	55,138	55,827	58,911	61,061	64,432	66,854	70,106	75,555	77,933	100.0	100.0
Imports of goods and services	12,904	13,976	14,391	15,100	17,566	17,783	18,919	20,167	22,056	24,620	24.1	31.6
Total supply	66,360	69,114	70,218	74,011	78,627	82,215	85,773	90,273	97,611	102,553	124.1	131.6
Exports of goods and services	12,939	14,224	14,329	15,276	17,048	17,731	19,077	20,357	22,492	23,389	24.2	30.0
Total domestic demand	53,421	54,890	55,889	58,735	61,579	64,484	66,696	69,916	75,119	79,164	99.9	101.6
Of which:												
Public consumption	9,384	9,674	9,972	10,481	10,512	10,878	11,673	12,373	12,975	13,719	17.6	17.6
Defence	2,627	2,613	2,697	2,835	2,832	2,756	3,140	3,177	3,283	3,334	4.9	4.3
Civil	6,757	7,061	7,275	7,646	7,680	8,122	8,533	9,196	9,692	10,385	12.7	13.3
Private consumption	33,124	33,488	34,443	35,712	36,294	38,219	39,604	41,618	43,785	45,730	62.0	58.7
Durables	3,062	3,394	3,593	4,135	4,045	4,552	4,652	5,116	5,645	5,955	5.7	7.6
Other	30,062	30,094	30,850	31,577	32,249	33,667	34,952	36,502	38,140	39,775	56.3	51.1
Gross domestic fixed asset formation	10,293	10,614	11,566	12,722	13,285	14,232	14,920	16,023	17,181	18,084	19.3	23.2
Government	1,664	1,859	1,944	2,289	1,965	1,952	2,121	2,633	2,982	3,324	3.1	4.3
Enterprises	8,629	8,755	9,622	10,433	11,320	12,280	12,799	13,390	14,199	14,760	16.2	18.9
Change in stocks	620	1,114	—92	—180	1,488	1,155	499	—98	1,178	1,631	1.0	2.1

Source: Swedish submission to the OECD.

TABLE III. GROSS FIXED ASSET FORMATION[1]

S.Kr. million.

1959 PRICES	1956	1957	1958	1959	1960	1961	1962	1963	1964	1965
A. BY INDUSTRY:										
Agriculture, forestry and fishing	461	466	451	474	503	585	606	646	691	743
Mining and quarrying	142	142	164	166	121	114	156	210	231	177
Manufacturing	1,947	1,918	2,300	2,489	2,858	3,544	3,526	3,558	3,306	3,752
Construction	103	106	105	116	103	111	113	134	119	133
Electricity, gas and waterworks	1,145	1,237	1,422	1,538	1,552	1,635	1,543	1,591	1,817	1,849
Transportation and communication	2,413	2,491	2,565	2,992	3,254	3,013	3,191	3,367	3,711	3,770
Dwellings	2,704	2,764	2,972	3,110	3,039	3,269	3,546	3,827	4,253	4,365
Public administration	201	250	258	286	281	284	340	463	536	603
Other service industries	1,177	1,240	1,329	1,551	1,574	1,677	1,899	2,227	2,517	2,692
Total	10,293	10,614	11,566	12,722	13,285	14,232	14,920	16,023	17,181	18,084
B. INSTITUTIONAL CLASSIFICATION:										
Private enterprise	6,206	6,225	6,938	7,399	8,157	8,978	9,239	9,725	10,217	10,684
Public enterprise	2,423	2,530	2,684	3,034	3,163	3,302	3,560	3,665	3,982	4,076
General government	1,664	1,859	1,944	2,289	1,965	1,952	2,121	2,633	2,982	3,324
C. PRODUCT CLASSIFICATION:										
Dwellings	2,704	2,764	2,972	3,110	3,039	3,269	3,546	3,827	4,253	4,365
Other building and construction	4,059	4,189	4,621	5,263	5,470	5,749	5,930	6,600	7,049	7,543
Transport equipment	1,330	1,395	1,393	1,521	1,854	1,690	1,816	1,814	1,941	1,913
Other equipment	2,200	2,266	2,580	2,828	2,922	3,524	3,628	3,782	3,938	4,263

1. According to OECD definitions, which do not include maintenance and repair.

Source: Swedish submission to the OECD.

TABLE IV. MAIN ECONOMIC INDICATORS

		1964				1965				1966			
		1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	1st QTR.	2nd QTR.	3rd QTR.	4th QTR.
INDICATORS OF NATIONAL PRODUCT (billion 1959 kronor):													
Consumer expenditure	adj.	10.76	10.93	11.07	11.26	11.30	12.06	11.08	11.56	11.56	11.63	11.88	12.27
Gross fixed investment	adj.	6.19	6.28	6.22	6.39	6.40	6.65	6.46	6.75	6.50	7.08	6.77	7.15
INDUSTRIAL PRODUCTION:													
Total 1960 = 100	orig.	135	139	113	147	149	151	119	155	154	157	121	158
	adj.	129	132	135	138	142	143	147	146	147	148	151	149
Manufacturing 1960 = 100	orig.	135	139	113	147	149	151	119	155	155	157	121	160
	adj.	129	132	136	138	142	143	141	146	148	149	143	150
Metal products 1960 = 100	orig.	142	145	113	153	159	156	120	165	169	168	124	172
	adj.	132	139	140	143	148	149	143	154	158	160	147	161
Commodity output: Crude steel (quarterly averages, thousand tons)		1,150	1,117	1,012	1,210	1,297	1,120	1,038	1,257	1,296	1,226	968	1,270
NEW ORDERS (1960 = 100):													
Metal products, total		98	106	101	119	105	105	97	118	98	105	97	102
CONSTRUCTION:													
Housing started (thousands)		8.6	21.3	23.0	15.1	11.3	14.2	14.2	26.0	9.8	11.0	15.1	30.8
LABOUR:													
Employment in mining and manufact. (labour force survey all employees)		1,198	1,202	1,241	1,240	1,272	1,258	1,282	1,268	1,244	1,232	1,242	1,208
Unemployment (registered unemployed)[1]	orig.	27.7	21.0	15.5	20.3	29.2	17.8	12.0	20.9	42.7	22.5	14.9	26.6
	adj.	19.2	22.3	23.2	21.6	20.2	18.9	17.9	21.8	29.6	23.4	21.9	27.9
Jobs vacant (outstand. vacancies)[2]	orig.	45.0	66.2	56.9	50.6	52.7	74.8	65.5	52.9	51.8	66.4	53.4	38.2
	adj.	52.1	54.9	54.2	57.8	60.7	61.9	62.6	60.4	59.7	55.0	50.8	43.6

1. Quarterly averages of mid-month figures.
2. Quarterly averages of end of month figures.

Source: OECD Main Economic Indicators.
NOTE. Orig.: Series prior to seasonal adjustment.
Adj.: Series adjusted for seasonal variations.

TABLE V. INDUSTRIAL PRODUCTION *1959 = 100.*

	1961	1962	1963	1964	1965	1966
Iron ore mines	130	126	131	148	164	157
Foodstuffs	109	115	117	122	126	133
Textiles	109	111	117	120	119	111
Shoes	100	104	109	111	108	89
Ready made clothing	115	120	126	131	131	125
Wood	115	120	129	145	158	159
Pulp	121	108	118	136	138	130
Paper and paper board	119	121	137	149	158	161
Rubber	121	121	128	146	160	157
Quarrying, clay, glass	116	122	134	154	174	182
Iron and metals	129	136	144	165	182	188
Metal and engineering	121	134	140	152	166	176
Mining and manufacturing total	118	125	133	146	157	163

Source: Monthly Digest of Swedish Statistics.

TABLE VI. IMPORTS BY COMMODITY GROUPS[1] *S.Kr. million.*

	1960	1961	1962	1963	1964	1965	1966
Food, beverages, tobacco	1,701	1,755	1,931	2,117	2,447	2,501	2,827
Raw materials	1,383	1,330	1,245	1,334	1,476	1,713	1,746
Mineral fuels, etc.	2,116	2,050	2,166	2,372	2,508	2,477	2,686
Chemicals	1,146	1,152	1,240	1,323	1,557	1,746	1,872
Manufactured goods	4,730	4,802	4,961	5,409	6,298	7,464	7,666
Non-electric machinery	1,488	1,790	1,982	2,058	2,343	2,796	3,093
Electric machinery	988	1,005	1,060	1,140	1,302	1,530	1,623
Transport equipment	1,455	1,269	1,569	1,798	2,015	2,417	2,149
Total	15,006	15,151	16,154	17,552	19,946	22,644	23,662

1. According to the Revised SITC.
Source: Monthly Digest of Swedish Statistics.

TABLE VII. EXPORTS BY COMMODITY GROUPS[1] *S.Kr. million.*

	1960	1961	1962	1963	1964	1965	1966
Food, beverages, tobacco	388	444	508	541	530	596	636
Raw materials	4,500	4,377	4,230	4,594	5,492	5,626	5,566
Chemicals	384	413	459	535	642	721	831
Manufactured goods	3,950	4,364	4,573	5,066	5,876	6,417	7,218
Non-electric machinery	1,825	2,262	2,666	2,658	2,983	3,230	3,893
Electric machinery	579	629	738	860	1,124	1,160	1,366
Transport equipment	1,647	1,709	1,957	2,314	2,367	2,791	2,593
Total	13,273	14,198	15,129	16,568	19,014	20,541	22,103

1. According to the Revised SITC.
Source: Monthly Digest of Swedish Statistics.

Table VIII. IMPORTS BY AREA (COUNTRIES OF ORIGIN)

US $ million, monthly averages.

	1960	1961	1962	1963	1964	1965	1966[2]
World	239.5	243.2	259.3	282.2	320.8	364.9	381.2
OECD Countries	191.6	196.8	210.8	228.0	259.9	295.3	306.0
Canada	1.7	1.6	2.0	2.4	3.0	3.1	3.9
United States	29.7	27.6	26.3	28.4	32.2	34.6	35.6
Japan	2.6	2.8	2.8	3.0	3.9	5.1	4.9
EEC	96.1	97.2	105.6	109.8	119.9	137.0	137.5
Belgium-Luxembourg	9.3	8.5	8.2	7.8	9.0	10.7	10.6
France	9.4	8.9	10.7	10.9	13.0	15.1	16.4
Germany	51.6	54.0	57.2	60.7	69.0	78.6	76.9
Italy	7.0	7.8	9.4	9.8	10.5	12.8	12.9
Netherlands	18.8	17.9	20.1	20.6	18.4	19.7	20.7
EFTA	58.4	64.2	70.4	81.0	96.2	110.6	118.9
Austria	2.5	2.9	2.6	3.0	3.5	4.2	5.1
Denmark	10.1	11.2	12.4	15.8	20.0	22.8	24.0
Norway	9.2	9.8	11.2	12.6	15.5	19.9	21.0
Portugal	0.8	0.8	0.9	1.1	1.6	1.8	1.8
Switzerland	4.5	5.2	6.0	6.3	7.4	8.3	8.6
United Kingdom	31.3	34.3	37.2	42.2	48.4	53.6	58.4
Other OECD Countries	3.2	3.4	3.7	3.6	4.6	5.0	5.2
Non-OECD Countries	47.9	46.4	48.5	54.2	60.9	69.6	75.2
Eastern Europe and China Mainland	10.6	11.0	12.1	13.5	14.3	16.3	18.0
Finland	3.5	4.1	4.8	4.7	6.2	8.1	10.7
Other developed countries[1]	1.8	1.8	1.8	1.8	1.8	2.6	2.6
Developing countries	32.0	29.5	29.8	34.2	38.6	42.6	43.9

1. Australia, New Zealand and South Africa.
2. Preliminary figures.

Source: OECD Foreign Trade Statistics, Series A, Overall Trade by Countries and Monthly Statistics of Foreign Trade (Central Bureau of Statistics, Stockholm).

Table IX. EXPORTS BY AREA (COUNTRIES OF DESTINATION)

US $ million, monthly averages.

	1960	1961	1962	1963	1964	1965	1966[2]
World	213.7	228.0	243.4	266.6	305.8	331.1	356.1
OECD Countries	162.0	176.3	186.1	208.1	240.5	263.4	281.4
Canada	1.8	1.9	1.9	2.4	2.8	3.9	5.8
United States	13.7	11.3	13.6	14.8	16.6	20.0	24.3
Japan	0.7	1.4	1.2	1.3	2.8	2.0	2.4
EEC	67.6	75.2	80.1	85.4	96.7	102.9	107.8
Belgium-Luxembourg	8.9	9.0	9.1	10.0	11.4	11.6	11.9
France	8.3	9.8	10.8	12.6	15.4	16.1	19.4
Germany	32.4	35.8	37.2	37.8	43.7	47.9	46.1
Italy	7.0	7.9	9.8	11.5	10.6	10.2	12.8
Netherlands	10.9	12.6	13.3	13.5	15.7	17.2	17.6
EFTA	73.5	81.0	82.8	95.5	112.2	124.3	128.6
Austria	1.5	1.8	1.7	2.3	2.6	3.1	3.5
Denmark	14.0	17.2	19.3	20.5	26.4	29.8	31.9
Norway	19.5	22.0	23.4	29.8	32.8	38.8	37.3
Portugal	1.0	1.3	1.3	1.2	1.3	1.8	3.0
Switzerland	3.3	4.6	5.2	5.8	6.5	6.8	7.7
United Kingdom	34.2	34.1	32.0	36.0	42.6	44.0	45.2
Other OECD Countries	4.8	5.5	6.5	8.6	9.3	10.4	12.5
Non-OECD Countries	51.8	51.6	57.3	58.5	65.3	67.7	74.7
Eastern Europe and China Mainland	10.3	10.2	13.2	11.5	15.2	14.0	15.7
Finland	8.9	10.5	11.1	11.5	14.4	16.7	19.3
Other developed countries[1]	5.6	5.8	5.8	6.9	9.0	8.4	7.7
Developing countries	27.0	25.1	27.2	28.6	26.8	28.5	32.0

1. Australia, New Zealand and South Africa.
2. Preliminary figures.

Source: OECD Foreign Trade Statistics, Series A, Overall Trade by Countries and Monthly Statistics of Foreign Trade (Central Bureau of Statistics).

TABLE X. CENTRAL GOVERNMENT INCOME AND EXPENDITURE[1]

FISCAL YEAR BEGINNING JULY

S.Kr. million.

	1956-57	1957-58	1958-59	1959-60	1960-61	1961-62	1962-63	1963-64	1964-65	1965-66
1. Current revenue	10,151	11,467	11,832	12,854	15,414	16,732	18,509	19,505	22,790	27,020
Direct taxes	5,147	5,756	5,723	5,797	6,918	7,508	7,794	7,686	9,851	11,387
Indirect taxes	4,390	4,937	5,354	6,159	7,528	8,156	9,531	10,648	11,508	13,933
Other	614	774	755	898	968	1,068	1,184	1,171	1,432	1,700
2. Current expenditure	8,458	9,785	10,543	11,312	11,988	12,993	14,963	16,054	18,817	21,860
Purchases of goods and services	4,021	4,396	4,605	4,924	5,224	5,888	6,737	7,365	8,446	9,762
Defence	2,453	2,663	2,739	2,882	2,895	3,288	3,664	3,917	4,240	4,493
Civil	1,568	1,733	1,866	2,042	2,329	2,600	3,073	3,448	4,206	5,269
Subsidies	490	684	715	699	778	881	883	910	1,059	1,224
Interest	460	573	599	763	1,011	899	793	815	875	886
Current transfers	3,487	4,132	4,624	4,926	4,975	5,325	6,550	6,964	8,437	9,988
3. Net current savings (1 — 2)	1,693	1,682	1,289	1,542	3,426	3,739	3,546	3,451	3,973	5,160
4. Depreciation and other operating provisions	503	725	637	760	871	874	1,089	1,034	1,312	1,216
5. Gross savings (3 + 4)	2,196	2,407	1,926	2,302	4,297	4,613	4,635	4,485	5,285	6,376
6. Gross fixed asset formation	1,612	1,723	2,115	2,353	2,281	2,319	2,558	2,847	3,079	3,534
7. Surplus on current and fixed investment account (5 — 6)	584	684	— 189	— 51	2,016	2,294	2,077	1,638	2,206	2,842
8. Lending	970	1,375	1,146	1,254	1,156	1,233	1,234	1,005	1,360	1,804
9. Net capital transfers to other sectors	262	317	340	364	395	431	454	635	788	821
10. Surplus before borrowing (7 — 8 — 9)	— 648	—1,008	—1,675	—1,669	465	630	389	— 2	58	217

1. According to OECD definitions.
Source: Swedish submission to the OECD.

Table XI. CENTRAL GOVERNMENT FINANCES[1]

Calendar years

S.Kr. million.

	1959 ACTUAL	1960 ACTUAL	1961 ACTUAL	1962 ACTUAL	1963 ACTUAL	1964 ACTUAL	1965 ACTUAL	1966 PRELIM.	1967 FORE-CAST
Current receipts	12,889	14,745	17,440	19,230	19,886	21,934	26,590	29,000	32,300
Direct taxes	6,422	6,790	8,553	8,921	8,556	9,549	12,201	12,610	13,640
Indirect taxes	5,452	6,812	7,634	8,931	9,841	10,777	12,227	14,150	16,200
Other	1,015	1,143	1,253	1,378	1,489	1,608	2,162	2,240	2,460
Current and investment expenditure	13,631	14,858	15,635	17,637	19,166	21,144	25,194	28,200	31,200
Transfer payments	7,217	7,971	8,572	9,543	10,191	11,362	13,534	15,430	17,650
Consumption	3,274	3,557	3,894	4,423	5,106	5,547	6,887	7,820	8,400
Gross investment	3,140	3,330	3,169	3,671	3,869	4,235	4,773	4,950	5,150
Balance on current and fixed account	— 742	— 113	1,805	1,593	720	790	1,396	800	1,100
Lending	1,031	1,112	1,220	1,113	794	982	1,377	2,050	2,200
Balance on total account	—1,773	—1,225	585	480	— 74	— 192	19	—1,250	—1,100

1. According to Swedish definitions.
Source: National budgets 1967 and previous years.

Table XII. THE NATIONAL PENSION FUND

S.Kr. million.

	1960	1961	1962	1963	1964	1965	1966
Contributions paid	468	699	1,346	1,891	2,442	2,905	3,484
Pensions paid out	—	—	—	36	102	153	286
Assets by kind of objects, nominal value; end of year:							
Bonds	406	985	2,262	3,741	5,654	7,697	10,689
Debentures	15	23	140	264	401	587	731
Municipal loans excl. bonds	41	136	276	445	724	1,107	1,425
Other	18	61	170	314	573	1,132	1,868
Total	480	1,205	2,848	4,764	7,352	10,523	14,713
Investments by different groups of borrowers, cash values; end of year:							
Government bonds	135	104	176	435	700	979	1,211
Housing credits	173	606	1,276	1,978	3,021	4,245	6,599
Agriculture	15	40	74	166	250	349	474
Municipal loans	61	154	342	665	1,140	1,673	1,964
Loans to Swedish enterprises	87	267	869	1,312	1,820	2,566	3,350
Other	—	19	83	208	350	631	1,019
Total	471	1,190	2,820	4,764	7,281	10,443	14,617

Source: Swedish submission to the OECD.

TABLE XIII. MONETARY SURVEY

End of period.

		1960	1961	1962	1963	1964	1965	1966 1st QTR.	1966 2nd QTR.	1966 3rd QTR.	1966 4th QTR.
		S.Kr. million									
CENTRAL BANK:											
Assets:	Foreign assets, net and gold	2,435	3,318	3,869	3,619	4,476	4,206	4,260	4,458	4,512	4,380
	Swedish treasury bills and bonds	6,005	5,702	4,683	5,037	4,707	5,121	3,380	4,188	3,413	6,064
	Advances	6	6	35	240	104	377	1,237	869	1,428	46
Liabilities:	Notes in circulation	6,559	6,870	7,330	7,869	8,386	8,746	8,018	8,568	8,305	9,297
	Current deposits	272	372	334	306	218	237	118	117	179	215
	Other deposits[1]	1,155	1,254	904	867	969	1,140	1,268	1,321	1,294	1,277
COMMERCIAL BANKS:											
Assets:	Cash	434	472	515	554	482	523	347	443	342	485
	Foreign assets, net	453	472	492	595	576	678	676	492	560	733
	Bonds and treasury bills	5,558	5,673	7,277	6,480	7,111	6,716	6,429	5,914	6,974	7,928
	Advances:										
	i) Amounts drawn	14,091	14,541	16,196	19,348	21,334	24,008	25,441	26,029	26,243	25,835
	ii) Amounts granted	16,293	16,973	18,944	22,459	24,938	28,348	29,196	30,001	30,259	30,719
Liabilities:	Current deposits	2,290	2,994	3,204	3,719	4,338	4,655	3,729	4,837	3,994	5,609
	Savings and time deposits	16,234	16,421	18,877	20,691	22,311	23,076	24,476	23,572	24,223	24,694
SAVINGS BANKS:[2]											
Assets:	Bonds and treasury bills	1,148	1,197	1,324	1,316	1,511	1,591	1,563	1,547	1,721	1,853
	Advances	10,144	10,906	11,708	12,668	13,530	14,719	15,102	15,376	15,743	16,246
Liabilities:	Deposits	11,269	12,066	12,638	13,531	14,544	15,776	16,929	16,964	17,486	17,764
		Per cent									
OTHER MONETARY DATA:											
Government bond yield[3]		5.18	5.34	4.99	4.93	5.64	6.18	6.55	6.80	6.52	6.35
Official discount rate		5.0	5.0	4.0	4.0	5.0	5.5	5.5	6.0	6.0	6.0

1. Mainly enterprises' investment reserve deposits.
2. Comprising 84 large savings banks, representing 75 per cent of deposits in all savings banks.
3. Loans with 15 years left to maturity. Yearly figures are averages of monthly figures.

Source: Monthly Digest of Swedish Statistics, Uppgifter om Bankerna.

Table XIV. COMMERCIAL BANKS' NET CLAIM ON THE RIKSBANK

S.Kr. million.

	JAN.	FEBR.	MAR.	APRIL	MAY	JUNE	JULY	AUG.	SEPT.	OCT.	NOV.	DÉC.
1959	222	109	65	146	25	5	67	20	3	34	123	12
1960	36	28	— 179	— 91	— 17	— 123	— 114	— 326	— 297	— 98	— 165	— 23
1961	32	29	— 231	— 375	— 299	— 293	— 205	14	— 201	— 5	— 109	58
1962	17	25	6	52	— 232	— 285	12	— 46	— 307	— 226	— 220	— 43
1963	— 123	— 236	— 321	— 376	— 504	— 665	— 199	— 86	— 121	— 16	— 278	— 181
1964	— 33	— 46	— 258	— 149	— 180	— 555	— 437	— 374	— 289	— 122	— 419	— 189
1965	— 162	— 173	— 260	— 61	— 591	— 965	— 359	— 208	— 545	— 506	— 610	— 364
1966	— 321	— 364	— 588	— 319	— 803	— 533	— 194	— 182	— 438	— 187	— 573	— 145

Source: Annual report of Riskbank.

Note. The net claim for a month has been calculated as the average of the differences, at the four monthly bank return dates, between commercial banks' sight deposits at the Riksbank and their indebtedness to the Riksbank.

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